EQUITY RESEARCH PROJECT MSc 2025-2026

PROJECT OVERVIEW

Objective: Conduct a professional equity research analysis on a selected company from the S&P 500 Index, evaluating its investment potential through comprehensive financial analysis and valuation.

Universe: S&P 500 constituents (choose one company).

DELIVERABLES

1. **Research Report (PDF):** 10-page professional equity research report
2. **Financial Model (Excel):** 9 detailed worksheets with all calculations
3. **Executive Summary (PDF):** 2-page investment recommendation summary

EXCEL MODEL REQUIREMENTS

Sheet 1: Share Price Analysis

Required Analysis:

- Historical share price analysis (minimum 3 years daily data)
- Performance comparison: company vs S&P 500 Index
- Performance comparison: company vs relevant sector index
- Relative and absolute performance charts
- Beta calculation and volatility analysis
- Risk-adjusted return metrics

Sheet 2: Financial Analysis

Mandatory Methodology:

- **Horizontal Analysis:** Analyze trends over 5 years for all financial statement items, calculate growth rates and identify patterns
- Vertical Analysis: Express each item as percentage of relevant base (revenues for P&L (Income Statement), total assets for balance sheet)
- **Ratio Analysis:** Calculate all relevant financial ratios for your industry
- **Peer Comparison:** Compare each metric with minimum 5 industry peers
- **Commentary:** Provide meaningful insights on trends, outliers, and competitive positioning

Required Output:

- Trend analysis with visual charts
- Peer comparison tables with company ranking
- Written assessment of financial health and performance

Sheet 3: Credit Analysis

Requirements:

- Develop and explain your credit assessment methodology
- Calculate relevant credit metrics for your company
- Assess debt capacity and financial flexibility
- Derive implied credit rating with justification
- Stress test under different scenarios

Sheet 4: ESG Analysis

Framework:

- Assess Environmental, Social, and Governance factors relevant to your company
- Quantify ESG impact where possible
- Compare with industry peers
- Evaluate materiality for valuation
- Identify key ESG risks and opportunities

Sheet 5: Industry & Macroeconomic Analysis

Industry Analysis:

- Industry structure and competitive dynamics
- Growth drivers and challenges
- Regulatory environment impact
- Technology and disruption risks

Macroeconomic Analysis (Top-Down):

- Historical impact of macro variables on industry
- Correlation analysis with key economic indicators
- Forward-looking scenarios and implications
- Sensitivity of company to macro factors

Sheet 6: Multiple Valuation

Process Requirements:

- Select and justify appropriate valuation multiples for your industry
- Justify peer group selection with clear criteria
- Calculate current and historical multiples
- Derive target price range
- Explain any adjustments made

Sheet 7: Dividend Discount Model

Model Requirements:

- Apply multi-stage DDM with clear methodology
- Justify all growth assumptions
- Calculate required return with multiple methods
- Perform sensitivity analysis
- Document all assumptions clearly

Sheet 8: DCF Analysis

Two models required:

FCFF Model (Firm Valuation):

- Build detailed revenue and cost projections
- Forecast all financial statement items
- Calculate WACC with full documentation
- Justify terminal value assumptions

FCFE Model (Equity Valuation):

- Project cash flows to equity
- Document capital structure assumptions
- Calculate cost of equity
- Reconcile with FCFF valuation

Both models must include:

- Clear assumption documentation
- Sensitivity analysis
- Scenario analysis (base / bull / bear)

Sheet 9: Financial Data

Ongoing Data

Collection — Required

Data:

- Company financial statements (5 years minimum)
- Quarterly results (last 8 quarters)
- Peer company financials (standardized format)
- Industry and market data
- All data sources must be documented

RESEARCH REPORT STRUCTURE

Maximum 10 pages, including:

1. **Executive Summary** (1 page)
    - Investment recommendation and target price
    - Key investment thesis
    - Major risks
2. **Company Overview** (1 page)
    - Business model and competitive position
3. **Industry Analysis** (1.5 pages)
    - Market dynamics and outlook
4. **Financial Analysis** (2 pages)
    - Performance review and peer comparison
5. **Valuation** (2 pages)
    - Summary of all valuation methods
    - Target price derivation
6. **ESG Assessment** (1 page)
    - Material factors and impact
7. **Risk Analysis** (1 page)
    - Key risks ranked by importance
8. **Conclusion** (0.5 pages)
    - Final recommendation and catalysts

SUBMISSION GUIDELINES

File Format:

- Excel model with clear navigation between sheets
- PDF reports with professional formatting
- All files must be clearly labeled with your name and company ticker

Key Requirements:

- All calculations must be dynamic (no hardcoded values)
- Sources must be cited for all data
- Assumptions must be clearly documented
- Work must be original and completed individually.

Deadlines

- **Sheet 1: Share Price Analysis — Saturday, 14 March (by 17:00)**
- **Sheet 2: Financial Analysis — Saturday, 14 March (by 17:00)**
- **Sheet 3: Credit Analysis — Saturday, 14 March (by 17:00)**
- **Sheet 4: ESG Analysis — Saturday, 14 March (by 17:00)**
- **Sheet 5: Industry & Macroeconomic Analysis — Saturday, 14 March (by 17:00)**
- **Sheet 6: Multiple Valuation — Saturday, 21 March (by 17:00)**
- **Sheet 7: Dividend Discount Model — Saturday, 21 March (by 17:00)**
- **Sheet 8: DCF Analysis — Saturday, 21 March (by 17:00)**
- **Research Report — Saturday, 21 March (by 17:00)**

Academic Integrity: This is an individual assignment. Plagiarism detection will be applied.